

Executive Engineer, Southern Electricity Supply Co. of Orissa Ltd. (SOUTHCO) v. Sri Seetaram Rice Mill

(2012) 2 SCC 108

Supreme Court of India (SC) | 2011-10-20 | Bench: S.H. Kapadia CJI, K.S. Radhakrishnan J, Swatanter Kumar J (3) | IK doc 43074463 | SC-002 | schema 1.0

Sections 126 and 135 are distinct provisions operating in different and distinct fields with no commonality in law: Section 126 (unauthorised use) is a civil remedy with no mens rea and covers even excess-load/change-of-category consumption under Explanation (b)(iv) construed purposively; Section 135 (theft) is criminal, requiring dishonesty; only a final Section 126(3) assessment is appealable under Section 127 (a provisional order is not), and the High Court should normally not interfere with a final assessment under Article 226.

GOOD-LAW as of 2026-07 · provision-version OK: True

§126 vs §135: good-law; the settling SC authority applied throughout this corpus.

§126 assessment: good-law on the purposive/wider construction of 'unauthorised use' and excess load under Explanation (b)(iv).

§127 appeal: good-law on the complete-code / only-final-order-appealable proposition.

Not overruled; 3-Judge Bench, applies the post-2007 Act. The corpus's dominant authority.

FACTS & PROFILE

On inspection SOUTHCO found the consumer drawing 142 KVA against its sanctioned load and issued a provisional assessment/show-cause under Section 126; the consumer, without filing objections under Section 126(3), moved the High Court, which held that overdrawal of maximum demand did not amount to 'unauthorised use' and that the authorities lacked jurisdiction. SOUTHCO appealed.

Procedural posture	Civil appeal against a High Court judgment quashing a provisional assessment
Outcome for	licensee
Relief granted	HC order set aside; remanded for final assessment after objections.
Consumer category	industrial (rice mill)
Fact-pattern	excess-load, overdrawal-of-maximum-demand, change-of-category, provisional-assessment-challenged-in-writ
State	Odisha
DISCOM / party	Southern Electricity Supply Co. of Orissa (SOUTHCO)
Statutory version	post-2007 (Act 26 of 2007) — Section 126(5)/(6) as amended, Explanation (b)(iv); the Court applies the amended text

Disposition: Appeal allowed; High Court judgment set aside and matter remanded to the assessing officer to pass a final Section 126(3) assessment after affording the consumer an opportunity to file objections.

ISSUES FRAMED

1. Wherever the consumer consumes electricity in excess of the maximum of the contracted load, would the - provisions of Section 126 of the 2003 Act be attracted on its true scope and interpretation?

INTERPRETATION OF THE ELECTRICITY ACT

Provisions construed: s.126, s.126(2), s.126(3), s.126 Explanation (b)(iv), s.127, s.135

s.126 / s.135 **ratio** post-2007 different-and-distinct-fields §126 vs §135

Sections 126 and 135 are distinct provisions that operate in different and distinct fields and have no commonality in law.

“They operate in different and distinct fields.”

— para 17

s.126 / s.135 **ratio** post-2007 mens-rea-135-not-126 §126 vs §135 §135 mens rea

Section 135 theft falls within criminal jurisprudence and mens rea is a relevant factor; Section 126 does not speak of any criminal intendment and is primarily a civil remedy without elements traceable to mens rea.

“This squarely falls within the dimensions of Criminal Jurisprudence and mens rea is one of the relevant factors for finding a case of theft. On the contrary, Section 126 of the 2003 Act does not speak of any criminal intendment and is primarily an action and remedy available under the civil law.”

— para 16

s.126 **ratio** post-2007 no-intention-required-for-126 §126 assessment §135 mens rea

'Unauthorised use of electricity' under Section 126 deals with cases of unauthorised use even in the absence of intention — distinct from dishonest abstraction under Section 135.

“the expression `unauthorized use of electricity under Section 126 of the 2003 Act deals with cases of unauthorized use, even in absence of intention.”

— para 17

s.126 Explanation (b)(iv) **ratio** post-2007 purposive-wider-connotation §126 assessment

'Unauthorised use of electricity' is an expression of wider connotation to be construed purposively; excess-load consumption beyond the connected load falls under Explanation (b)(iv) to Section 126 (besides violating the Regulations and agreement).

“The expression `unauthorized use of electricity means as appearing in Section 126 of the 2003 Act is an expression of wider connotation and has to be construed purposively in contrast to contextual interpretation while keeping in mind the object and purpose of the Act.”

— para 58 (conclusion 2)

s.126 / s.127 **ratio** post-2007 complete-code-only-final-appealable §127 appeal provisional/final

Sections 126 and 127 read together constitute a complete code; only a final order of assessment under Section 126(3) is appealable under Section 127, and a notice-cum-provisional assessment under Section 126(2) is not appealable.

“only a final order of assessment passed under Section 126(3) is an order appealable under Section 127 and a notice-cum-provisional assessment made under Section 126(2) is not appealable.”

s.126(3) ratio post-2007 hc-restraint-under-226

§127 appeal

jurisdiction (§145/§154)

The High Court should normally decline to interfere under Article 226 with a final assessment; it may examine a jurisdictional challenge but must not travel into the assessing officer's exclusive domain of assessment and fact-finding.

“the High Court should normally decline to interfere in a final order of assessment passed by the assessing”

— para 58 (conclusion 5)

REGULATIONS / SUPPLY CODE CONSTRUED

- **Orissa Supply Code / Regulations 82 and 106 (contract demand; unauthorised use)** — implements s.126 assessment (made under Electricity Act, 2003)

AUTHORITIES CITED

A primarily statutory-interpretation judgment; its authority derives from its own construction of Sections 126/127/135 (purposive construction, complete code, genus of unauthorised use). It is itself the dominant authority the rest of this corpus cites (14× within the corpus).

RATIO & WHAT WAS DECIDED

§126 vs §135

SC-binding

settles

Sections 126 (civil, no mens rea, unauthorised use of wider purposive connotation covering excess-load/change-of-category under Explanation (b)(iv)) and 135 (criminal, dishonesty) operate in different and distinct fields with no commonality; Sections 126-127 are a complete code, only the final Section 126(3) assessment is appealable under Section 127, and the High Court should not ordinarily interfere with a final assessment under Article 226.

SIGNIFICANCE

The foundational Supreme Court authority on the Section 126 / Section 135 divide and the assessment-appeal scheme — the single most-cited case across this corpus (14×, 9 followed). It settles: unauthorised use (Section 126) is civil and intention-neutral, of wider purposive connotation covering excess load/change of category under Explanation (b)(iv); theft (Section 135) is criminal, requiring mens rea; Sections 126-127 are a complete code with only the final Section 126(3) order appealable under Section 127; and the High Court's Article 226 role is confined to jurisdictional review, not re-assessment.

FLAGS

FOUNDATIONAL: the corpus's most-cited authority (14×)

s.126 vs s.135 = different and distinct fields, no commonality

s.126 civil, no mens rea; unauthorised use even without intention

unauthorised use = wider purposive connotation; excess load under Explanation (b)(iv)

s.126-127 a complete code; only FINAL s.126(3) order appealable under s.127

HC under Art 226 confined to jurisdictional review, not re-assessment

SC-binding 3-Judge; gate false-negative overridden (cites metadata lacked section tags)

Jurisprudence record — generated from SC-002.record.json for the Electricity Act §126/§135 project. Verbatim quotes are grep-verifiable against the source judgment.